16. Innovation Theory of profit was given by

a. Hawley

b. Schumpeter

c. Keynes

d. Knight

17. Quasi-rent arises in

a. Man-made appliances

b. Homemade items

c. Imported items

d. None of these

18. "Wages as a sum of money are paid under contract by an employer to a worker for services rendered" –Who said this?

a. Benham

b. Marshall

c. Walker

d. J.S.Mill

19. Abstinence Theory of Interest was propounded by

a. Alfred Marshall

b. N.W Senior

c. Bohm-Bawerk

d. Knut Wicksell

20. Loanable Funds Theory of Interest is called as

a. Classical Theory

b. Modern Theory

c. Traditional Theory

d. Neo-Classical Theory

Part- A Answers

1	2	3	4	5	6	7	8	9	10
a	b	c	d	a	d	b	b	b	c
11	12	13	14	15	16	17	18	19	20
b	a	b	b	b	b	a	a	b	d

PART – B Answer the following questions in one or two sentences.

21. What is meant by distribution?

22. Mention the types of distribution.

23. Define 'Rent'.

24. Distinguish between real and money wages.

25. What do you mean by interest?

26. What is profit?

27. State the meaning of liquidity preference.

Part C Answer the Following Questions in a Paragraph

28. What are the motives of demand for money?

29. List out the kinds of wages.

30. Distinguish between rent and quasi-rent.

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